Ministry of Housing, Communities & Local Government

Rt Hon Steve Reed OBE MP
Secretary of State for Housing, Communities & Local Government
2 Marsham Street
London
SW1P 4DF

Leaders in East Sussex and Brighton and Hove
By email

16 July 2026

Dear Leaders,

Thank you for your continued work to deliver local government reorganisation in East Sussex and Brighton and Hove. This Government is delivering the most ambitious programme of local government reform in a generation, replacing the inefficient two-tier system with new unitary councils so that all parts of our country can access strong services, and are ready for devolution. We need to devolve power out of Whitehall so that we can rebalance wealth, power and opportunity across our country. But devolution must be built on strong local councils that can deliver good public services, support growth, and remain closely connected to the communities they serve.

Doing this right means recognising the unique contributions that different areas make to people's lives, as well as to the national economy. Some of our smaller cities are highly productive, but have been constrained by tight boundaries, set decades ago, which stop them from building the homes they need. Other areas are more rural, with significant demand for social care services and affordable housing. Local government should be set up to address the unique circumstances of each area and design public services tailored to each community.

Reorganisation provides us with a once-in-a-generation opportunity to ensure that councils genuinely represent the communities they serve today and stand the test of time. We know that people care about their own villages, home towns, high streets and communities. In many parts of the country, existing boundaries do not match local economies, public services, or local identities.

We won't achieve effective devolution or enable effective place-based public services with outdated and misaligned structures that slow down delivery, fragment public services, hamper housebuilding and slow down important decision making. We need to make sure that new councils are grounded in place and are genuinely connected to their communities.

Decisions

I have considered all proposals carefully against the criteria set out in the invitation letter of 5 February last year, alongside the responses to both the initial consultation and the further consultation on potential modifications, representations made, requests for modifications made alongside the proposals and through the consultation and all other relevant information.

Following this assessment, I have decided to move forward with the implementation of the modification to the two unitary proposal that will result in an expanded unitary council for Brighton and Hove and a unitary council for East Sussex minus four wards from Lewes District Council. In doing so, in accordance with the provisions of the Local Government and Public Involvement in Health Act 2007, I will exercise my power to modify the two unitary proposal submitted by East Sussex County Council, Eastbourne Borough Council, Hastings Borough Council, Lewes District Council and Rother District Council to achieve the boundary change requested by Brighton and Hove City Council, with the exception of Falmer Parish. For ease, this is now referred to as “my selected option”.

These new councils will comprise the current areas of:

- Eastbourne Borough Council, Hastings Borough Council, Lewes District Council minus four wards, Rother District Council and Wealden District Council (referred to in the proposal as ‘East Sussex Council’)
- Brighton and Hove City Council plus four wards from Lewes District Council

In my view, my selected option will enable a better outcome overall for the area than the unmodified proposal as described below. That notwithstanding, I have decided against making all the boundary changes requested by Brighton and Hove City Council. Following careful consideration of the consultation responses, I have decided that the parish of Falmer in Lewes District Council, with a population of around 300, should be in ‘East Sussex Council’ rather than part of an expanded Brighton and Hove, given its rural identity. I also note this will reduce the complexity associated with boundary change and service disaggregation.

I want to thank you for all of the work that has gone into developing options that seek to deliver new unitary councils that will help to grow the local economy and provide better public services for the people of East Sussex and Brighton and Hove. Your ongoing collaboration will be vital to ensure that the proposal as modified is implemented by April 2028 with the interests of residents at its heart.

Turning to the reasons for my decision, in my judgment the five unitary proposal did not meet the criteria for unitary local government, the two unitary proposal did meet the criteria for unitary local government and overall, I consider my selected option to be the best option for East Sussex and Brighton and Hove. The comparative strength is that it allows for the growth of Brighton and Hove and so has stronger economic area alignment, a more sensible geography and a stronger foundation for housing growth.

With regard to the five unitary option, the cost implications and potential disruption to public services due to the scale of change put forward have led me to conclude that this option did not meet the criteria. I also had concerns that the proposed councils could be less resilient than the current structures.

In more detail, my selected option performed particularly well in the following areas:

- **Stronger economic area alignment:** I found that my selected option better reflects Brighton and Hove’s real economic geography and creates a more sensible economic area than the unmodified proposal, by bringing East Saltdean, Telscombe and Peacehaven into the area of the council. These areas have strong travel-to-work, service-use and coastal corridor links with Brighton and Hove, with the A259 forming a continuous built-up area and

Peacehaven and Telscombe relying on the larger employment centre of Brighton and Hove. My preferred option will better address the current underbounding of Brighton and Hove as compared to the unmodified proposal, which will better help to address the constraints that places on the area.

- **Sensible geography for growth, planning and place-making:** Compared with the unmodified proposal, my selected option expands Brighton and Hove's population, tax base and planning footprint. I judge that this will create a more sensible geography and provide a broader basis for investment, spatial planning and infrastructure coordination across the urban coastal area. It would better allow housing, regeneration, transport, local services and public realm issues to be considered more coherently across communities that already function together, rather than being split by existing administrative boundaries as would be the case in the unmodified proposal.
- **Strengthened housing and regeneration planning:** My selected option provides the strongest foundation for long-term housing delivery infrastructure and growth. I judge that this strengthened housing and regeneration planning across the urban corridor will in the long run help to increase housing supply and meet local needs. Over time, this will help align housing delivery with where residents travel, work, study and use services, and may support more coordinated planning around transport, school places, employment sites and local infrastructure.

I acknowledge that my selected option may introduce higher transition costs due to the boundary change complexity and disaggregation of services. Following careful consideration, in my view the boundary change required for my selected option is justified as it will achieve better outcomes from local government reorganisation for the area and so these potential costs are outweighed by the benefits. In particular, as set out above, in allowing for the growth of Brighton and Hove this option has stronger economic area alignment, a more sensible geography and a stronger foundation for strengthened housing growth, driving my assessment that there is a strong public services and financial sustainability related justification.

I considered the expected costs and benefits set out in the proposal, as well as the ability of each new council to be financially resilient. I am satisfied, based on our assessment against the criteria, that the proposal, whether or not modified, would be likely to represent an overall improvement in sustainability over current structures. I note the consultation responses that the modification could face increased transition costs due to the added boundary change complexity and the model for implementation but as above I judge these potential costs are outweighed by the benefits.

Next steps

In relation to next steps, as you are aware a Structural Changes Order, which will be subject to Parliamentary approval, is required to abolish existing councils, establish new structures and make transitional arrangements. I have carefully considered the information in the proposals as well as the further representations you have made on the content of this Order.

My officials will shortly write to your Chief Executives setting out the next steps and timeline for implementation, including my initial decisions on transitional arrangements that will be included in the draft legislation. This will enable you to take forward the work needed to begin preparation for implementation, in advance of Parliamentary approval of the Order. Critically,

and drawing on learning from previous rounds of reorganisation, this will include a single Implementation Team formed of officers from across the area, and elections to the new unitary councils in May 2027. For the avoidance of doubt, these elections to the new unitary councils will replace any scheduled local elections, and affected councillors will have their terms extended.

I have carefully reflected on requests to use the preparing council model for implementation. However, this model has never been used for an expansion, and if used would lead to a democratic deficit that I do not think can be clearly and effectively mitigated. On balance I have decided that the shadow council model should be used. While I appreciate this adds some complexity, I consider this is justified given the importance of democratic accountability. The shadow council model will also help support the new councils to make the most of the opportunities afforded from reorganisation.

A broad support offer is in place for councils, including support to councils through our sector advisors and through funding to the Local Government Association for an enhanced support offer. We have already announced £63m in capacity funding to support the reorganisation process, and I am pleased to provide further detail today on how this funding will be allocated.

Of the £63 million capacity funding, as well as the unprecedented £900,000 transition support to each new unitary already announced, we are also committing up to £150,000 per each new unitary as supplementary funding for Leadership Capacity and Continuity in Children's Services, Adult Social Care and Public Health. This is part of a wider package of support worth up to £10m for children's services, adult's social care and public health leadership, which will also fund targeted development, mentoring and peer support for current, new and aspiring leaders.

In addition, up to £1m of funding overall will be available to support the small number of areas with complex fire and rescue authority transitions.

Taken together, this means that areas undergoing local government reorganisation will receive more than £1 million per new unitary created. This is the first time reorganisation has been supported in this way and shows this Government is committed to supporting councils to get these reforms right. We will confirm details of these allocations in due course.

I look forward to continuing to work closely with you to deliver the vital improvements that reorganisation can facilitate.

I am copying this letter to your Chief Executives, MPs, the chair of the Sussex and Brighton Strategic Authority and the Sussex Police and Crime Commissioner.

Yours sincerely,



RT HON STEVE REED OBE MP
Secretary of State for Housing, Communities and Local Government